

Economics Test -15

➤ Join Telegram

Q1. _____ refer to central bank purchases or sales of government securities in order to expand or contract money in the banking system and influence interest rates.

- A. International market operations
- B. Open market operations**
- C. National market operations
- D. Closed market operations

Solution: Open market operations – It refers to central bank purchases or sales of government securities in order to expand or contract money in the banking system and influence interest rates. If there is excess liquidity, RBI resorts to sale of securities and sucks out the rupee liquidity. When the liquidity conditions are tight, RBI buys securities from the market, thereby releasing liquidity into the market. Types – Main refinancing operations, Longer-term refinancing operations, Fine-tuning operations, Structural operations.

Q2. The price of one currency in terms of another is known as:

- A. export exchange rate
- B. import exchange rate
- C. international currency
- D. Foreign exchange rate**

Solution: Foreign exchange rate. An exchange rate is a relative price of one currency expressed in terms of another currency (or group of currencies). Exchange rates can be either fixed or floating. Fixed exchange rates are decided by central banks of a country whereas floating exchange rates are decided by the mechanism of market demand and supply.

Q3. Which of the following is NOT a tax subsumed under GST in India?

- A. Service tax
- B. Central excise duty
- C. Additional custom duty
- D. Income tax**

Solution: Income tax. At the Central level, the following taxes are being subsumed into GST: Central Excise Duty, Additional Excise Duty, Service Tax, Additional Customs Duty commonly known as Countervailing Duty, and Special Additional Duty of Customs. Income Tax is not among them. At the State level, the following taxes are being subsumed into GST: Subsuming State Value Added Tax/Sales Tax, Entertainment Tax, Octroi and Entry tax, Purchase Tax, Luxury tax, and Taxes on lottery, betting and gambling.

Q4. In which of the following years did the monopolies and Restrictive Trade Practices Act (MRTP) became effective?

- A. 1968
- B. 1970**
- C. 1974
- D. 1978

Solution: 1970. Monopolies and Restrictive Trade Practices Act – The Act was passed in 1969. The Act extends to the whole of

India except Jammu and Kashmir. Objective – To ensure that the operation of the economic system does not result in the concentration of economic power in hands of few, To provide for the control of monopolies, To prohibit monopolistic and restrictive trade practices.

Q5. Which of the following government Company manages Steel plants in India?

- A. GAIL
- B. HSL
- C. SAIL**
- D. DVC

Solution: SAIL (Steel Authority of India Limited) – It trace its origins back to the Hindustan Steel Limited (HSL) which was set up on 19 January 1954. Headquarter – New Delhi. Five integrated steel plants: Bhilai, Rourkela, Durgapur, Bokaro and Burnpur (Asansol). Three special steel plants: Salem, Durgapur and Bhadravathi. Gas Authority Of India Limited (GAIL) – Manages Gas refining. Damodar Valley Corporation (DVC) – Multipurpose river valley project.

Q6. Infant mortality is the death of an infant before his or her _____ birthday.

- A. tenth
- B. third
- C. sixth
- D. first**

Solution: first. The Infant Mortality Rate (IMR) is the number of infant deaths for every 1,000 live births. As per the Sample Registration System (SRS) Bulletin of Registrar General of India (RGI), the Infant Mortality Rate (IMR) has reduced from 37 per 1000 live births in 2015 to 30 per 1,000 live births in 2019. Interventions for improving Infant Mortality Rate: Mother's Absolute Affection (MAA), Social Awareness and Actions to Neutralise Pneumonia Successfully (SAANS), Universal Immunization Programme (UIP), Rashtriya Bal Swasthya Karyakram (RBSK), Nutrition Rehabilitation Centres (NRCs).

Q7. The Second Five-Year Plan was aimed at laying emphasis on _____.

- A. food import
- B. Industrial sector**
- C. agricultural sector
- D. water scarcity

Solution: Industrial sector . Second Five Year Plan (1956–1961) – It laid emphasis on industry, particularly heavy industry. The plan followed the Mahalanobis model, developed by the Indian statistician Prasanta Chandra Mahalanobis in 1953. In this plan, steel mills were built in Bhilai, Durgapur, and Rourkela. Tata Institute of Fundamental Research was founded as a research institute. Long term objectives of Five Year Plans : High Growth rate, Economic stability for prosperity, Self-reliant economy, Social justice and reducing the inequalities, Modernization of the economy.

Q8. Which of the following elements is NOT included in the circular flow of Income in a simple economy?

- A. Factory
- B. Goods and services
- C. Depreciation**
- D. Spending

Solution: Depreciation:- It is an accounting concept that refers to the systematic allocation of the cost of a tangible asset over its useful life. It represents the decrease in value or usefulness of an asset due to factors such as wear and tear, obsolescence, or usage. Circular flow of the economy - It represents the continuous flow of goods, services, resources, and money between households and businesses, forming a closed loop of economic activity. Examples- Household Income and Expenditure, Government and Taxes, Business Revenue and Expenses, etc.

Q9. The actual or realized value of a variable as opposed to its planned value is called _____.

- A. Ex barter
- B. Ex flow
- C. Ex post**
- D. Ex ante

Solution: Ex-post, which means "after the fact" in Latin, is another term for actual returns. Ex-post is the opposite of ex-ante, which means "before the event". Ex-ante or notional demand refers to the desire for goods and services that is not backed by the ability to pay for those goods and services.

Q10. The profit of a firm is the _____ total revenue earned and total cost incurred.

- A. product of
- B. difference between**
- C. addition of
- D. division of

Solution: Difference between. Revenue - The total amount of income generated by the sale of goods or services related to the company's primary operations. Profit, which is typically called net profit or the bottom line, is the amount of income that remains after accounting for all expenses, debts, additional income streams, and operating costs.

Q11. Equilibrium national income occurs where aggregate supply _____.

- A. equals aggregate consumption
- B. equals aggregate demand**
- C. equals aggregate production
- D. equals aggregate expenditure

Solution: Equals aggregate demands. A country's national income is the total amount of new 'final' goods and services produced over a period of time - usually measured annually and quarterly. A stable GDP will happen when an economy's aggregate supply and aggregate demand are exactly balanced.

Q12. Fiat money is the one which _____.

- A. has taxes equal to government spending
- B. has no intrinsic value**
- C. has intrinsic value equal to the face value
- D. does not go any further transformation

Solution: Has no intrinsic value. Fiat money - Government issued currency that is not backed by a commodity such as gold. It gives central banks greater control over the economy because they can control how much money is printed. One danger is that governments can print too much of it, resulting in hyperinflation. Example - Most modern paper currencies, such as the U.S. dollar, the British Pound, the euro, the Indian Rupee etc. Commodity money - Money whose value comes from a commodity of which it is made. Example - Gold and Silver.

Q13. Euro is the common currency of which of the following international groupings?

- A. Gulf Cooperation Council
- B. Association of South Asian Nations
- C. South Asian Association for Regional Cooperation
- D. European Union**

Solution: European Union:- It is a political and economic union of 27 member states located in Europe. It was established with the signing of the Maastricht Treaty in 1992 and officially came into existence in 1993. Headquarters - Brussels. Gulf Cooperation Council - Its was established in 1981. Headquarters - Riyadh, Saudi Arabia. South Asian Association for Regional Cooperation (SAARC) - It was founded in Dhaka on 8 December 1985. Headquarters - Kathmandu, Nepal. Association of Southeast Asian Nations (ASEAN) - It was founded in 1967. Headquarters - Jakarta, Indonesia.

Q14. A consumer's optimal bundle is located at the point of tangency between the budget line and _____.

- A. indifference curve**
- B. law of demand
- C. income effect
- D. monotonicity

Solution: Indifference curve. It shows a combination of two goods in various quantities that provides equal satisfaction (utility) to an individual. Since all the combinations give the same amount of satisfaction, the consumer prefers them equally. The law of demand is a fundamental principle of economics that states that at a higher price consumers will demand a lower quantity of a good. The income effect is the change in the consumption of goods based on income. Monotonicity implies that any increase in consumption will be welcomed by a consumer, independent of the reference consumption bundle.

Q15. Oil India Limited, a Central Public Sector Enterprise (CPSE), is a _____ company.

- A. Maharatna
- B. Navratna**
- C. Miniratna Category-II
- D. Miniratna Category-I

Solution: Navratna Companies. Oil India Limited : Second - Largest national upstream Oil and Gas Company. It engaged in the business of exploration, production and transportation of crude oil and natural gas. Headquarter - Duliajan, Assam. Other Navratna Companies: Bharat Electronics Limited, Engineers India Limited, Hindustan Aeronautics Limited, Mahanagar Telephone Nigam Limited, National Aluminium Company Limited, Shipping Corporation of India Limited.

Q16. According to the Industrial Policy Statement of 1973, the private sector was allowed to apply for the license of their industry only after having a total asset of Rs _____ or more.

- A. 2 lakh
- B. 20 lakh
- C. 2 crore
- D. 20 crore**

Solution: 20 crore. Industrial Policy Statement of 1973: The policy introduced a new classification of 'Core Industries'. It included six industries that were of fundamental importance for developing other industries - Iron & Steel, Cement, Coal, Crude Oil, Oil Refining & electricity. Fertilisers and Natural Gas were added afterwards. Foreign Exchange Regulation Act (FERA) was introduced (1973) to regulate foreign exchange in India.

Q17. The Gadgil formula which is named after social scientist and the first critic of Indian planning was approved in _____ for determining the allocation of central assistance for state plans in India.

- A. 1966
- B. 1969**
- C. 1967
- D. 1970

Solution: 1969. Fourth Five Year Plan (1969-74): Based on Gadgil Formula, Emphasis was laid on growth with stability and progress towards self-reliance, 14 Major Indian Banks were nationalised and the Green Revolution boosted agriculture, Target growth rate was 5.6%, but the actual growth rate was 3.3%. India performed the Nuclear test (Pokhran-1) named as 'Smiling Buddha' on 18 May 1974.

Q18. The Industrial Policy Resolution (IPR) 1956 was adopted in order to achieve the aim of a socialist state with the government controlling the major strategic industries of the economy. According to this resolution, industries were classified into _____.

- A. two categories
- B. five categories
- C. three categories**
- D. four categories

Solution: Three categories - Schedule A consisting of 17 industries was the exclusive responsibility of the state; Schedule B, consisting of 12 industries, was open to both the private and public sectors; however, such industries were progressively State-owned; and Schedule C - All the other industries not included in these two Schedules constituted the third category which was left open to the private sector. The IPR 1956, stressed the importance of cottage and small scale industries for expanding employment opportunities.

Q19. The FRBMA was enacted in 2003, which set targets for the government to reduce fiscal deficits. What does FRBMA stand for?

- A. Fiscal Relations and Budget Maintenance Act
- B. Financial Relations and Budget Management Act
- C. Financial Responsibility and Budget Maintenance Act
- D. Fiscal Responsibility and Budget Management Act**

Solution: Fiscal Responsibility and Budget Management Act - It was enacted by Parliament of India under the leadership of

Mr. Yashwant Sinha, who was the then Finance Minister of India. It sets a target for the government to establish financial discipline in the economy, reduce fiscal deficit and improve the management of public funds. A fiscal deficit is a shortfall in a government's income compared with its spending.

Q20. The percentage change in demand for a good, divided by the percentage change in its price is known as _____.

- A. perfect competition
- B. price elasticity of supply
- C. price elasticity of demand**
- D. production function

Solution: Price elasticity of demand. Demand is price elastic if a change in price leads to a bigger % change in demand. At an elasticity of zero, consumption would not change at all, in spite of any price increases. The price elasticity of supply is the percentage change in quantity supplied divided by the percentage change in price. Perfect competition is a market structure where many firms offer a homogeneous product, and there is freedom of entry and exit. The production function is a mathematical function stating the relationship between the inputs and the outputs of the goods in production by a firm.

Q21. Which of the following is the correct explanation of the term 'Capital Receipts'?

- A. The receipts of the grants given to state governments and other parties
- B. The receipts of the government which result in the reduction of financial liabilities
- C. The receipts of the government which create liability or reduce financial assets**
- D. The receipts that do not lead to claim on the government

Solution: Capital Receipts - The receipts of the government which either create liability or cause any reduction in the assets of the government. Major sources of capital receipts - Borrowings, Recovery of Loans, and Disinvestment (Resale of shares of public sector undertakings). Types : Non-Debt Capital Receipts - These receipts do not create any liability on the entity's balance sheet. They are typically a result of transactions that increase the entity's net worth or capital. Debt Capital Receipts - These receipts create a liability on the entity's balance sheet, as they represent borrowed money that needs to be paid back at some point in the future.

Q22. Which of the following statements is CORRECT?

- A. The process of moving from casual wage worker to self-employment and regular salaried employment is known as casualisation of the workforce.
- B. The process of moving from self-employment and regular salaried employment to casual wage workers is known as casualisation of the workforce.**
- C. The process of remaining in regular salaried employment and self-employment is known as casualisation of the workforce.
- D. The process of moving from self-employment and casual wage workers to regular salaried employment is known as casualisation of the workforce.

Solution: Casualisation of the workforce - The process of moving from self-employment to casual wage workers. It is permanent positions to casual and contract positions. Casual

workers are those who work for others in farm or non-farm enterprises and are paid wages that are daily or periodic in nature. Casual wage laborers and regular salaried employees together account for less than half the proportion of India's workforce.

Q23. Which of the following statements is TRUE about a mixed economy?

- A. A mixed economy is one in which only the private sector (consisting of private enterprises) exists.
- B. A mixed economy is one in which only the public sector exists.
- C. A mixed economy is one in which the public sector (consisting of government enterprises) and the private sector (consisting of private enterprises) coexist with each other.**
- D. A mixed economy is one in which the public sector (consisting of government enterprise) and the private sector (consisting of private enterprises) do not coexist with each other.

Solution: A mixed economic system is a system that combines aspects of both capitalism and socialism. In other words, a mixed economy is one in which the sector (consisting of government enterprises) and the private sector (consisting of private enterprises) coexist with each other. India has a mixed economy.

Q24. Which of the following laws states that "as more and more units of a variable factor are employed with fixed factors and technology, its marginal product eventually declines".

- A. The law of diminishing returns to a factor**
- B. Law of diminishing marginal utility
- C. The law of variable proportions
- D. The marginal rate of technical substitution

Solution: The law of diminishing returns to a factor (also known as the law of diminishing marginal productivity). The law of diminishing marginal utility holds that as we consume more of an item, the amount of satisfaction produced by each additional unit of that good declines. The law of variable proportions states that when the quantity of one factor of production is increased, while keeping all other factors constant, it will result in the decline of the marginal product of that factor. The marginal rate of technical substitution (of labor for capital) is the rate at which capital can be reduced for every one unit increase in labor, and keeping output constant.

Q25. Which of the following sentences about money is INCORRECT?

- A. Money acts as a convenient unit of account.
- B. The value of all goods and services cannot be expressed in monetary units.**
- C. Economic exchanges without the mediation of money are referred to as barter exchanges.
- D. The first and foremost role of money is that it acts as a medium of exchange.

Solution: Money is any item or medium of exchange that is accepted by people for the payment of goods and services, as well as the repayment of loans. Fiat money is government-

issued currency that is not backed by a physical commodity but by the stability of the issuing government. Bartering was one way that people exchanged goods for other goods before money was created. Money serves as a common denominator that can be used to assign a specific value to any good or service.

Q26. The demand curve is elastic when _____ and it is inelastic when _____.

- A. average revenue has a positive value; marginal revenue has a negative value
- B. average revenue has a negative value; marginal revenue has a positive value
- C. marginal revenue has a negative value; average revenue has a positive value
- D. marginal revenue has a positive value; marginal revenue has a negative value**

Solution: Option (d) is correct. In other words, Marginal revenue is positive in the elastic range of a demand curve, negative in the inelastic range, and zero where demand is unit price elastic. A demand curve is a graph that shows the relationship between the price of a good or service and the quantity demanded within a specified time frame.

Q27. In which of the following cities is the World Economic Forum headquartered?

- A. London, the UK
- B. Geneva, Switzerland**
- C. Washington DC, the US
- D. Paris, France

Solution: Geneva, Switzerland. The World Economic Forum (WEF) (founded on 24 January 1971) is the international non-governmental and lobbying organization for Public-Private Cooperation. Reports published by WEF: Energy Transition Index, Global Competitiveness Report, Global Gender Gap Report. Headquarter with Organisations: Paris, France - UNESCO, Washington DC, the US - International Monetary Fund (IMF) and World Bank (WB), London, UK - International Maritime Organisation (IMO), Commonwealth of Nations and Amnesty International.

Q28. Which of the following is the correct full form of GDFCF?

- A. Gross Domestic Fixed Currency Formation
- B. Gross Development Funding Capital Formation
- C. Gross Domestic Fixed Capital Formation**
- D. Gross Development on fixed Capital Formation

Solution: Gross Domestic Fixed Capital Formation (GFCF), also called "investment", is defined as the acquisition of produced assets (including purchases of second-hand assets), including the production of such assets by producers for their own use, minus disposals. It consists of resident producers' investments, deducting disposals, in fixed assets during a given period. It also includes certain additions to the value of non-produced assets realised by producers or institutional units.

Q29. The Securities and Exchange Board of India functions to monitor and regulate the _____.

- A. foreign exchange only
- B. private sector industries

C. public health sector

D. Indian capital market operations

Solution: Indian capital market operations. The Securities and Exchange Board of India (SEBI) was constituted as a non-statutory body on April 12, 1988. It was established as a statutory body in the year 1992 under the ownership of the Ministry of Finance. It is a regulatory body that protects the interests of those who invest in the securities market. It also regulates the functioning of the stock markets and mutual funds in the country. Its Headquarter - Mumbai.

Q30. Decreasing returns to scale occurs when :

A. an increase in all inputs (labour/capital) leads to a more than proportional increase in output.

B. an increase in all inputs (labour/capital) leads to a less than proportional increase in output.

C. a decrease in all inputs (labour/capital) leads to a more than proportional increase in output.

D. a decrease in all inputs (labour/capital) leads to a less than proportional increase in output.

Solution: Decreasing returns to scale is when all production variables are increased by a certain percentage resulting in a less-than-proportional increase in output. Increasing returns to scale occurs when the output increases by a larger proportion than the increase in inputs during the production process. Example - If input is increased by 3 times, but output increases by 3.75% times.

Q31. Which of the following is in the list of Maharatna Central Public Sector Enterprises ?

A. India Tourism Development corporation

B. Central Coalfields Limited

C. Coal India Limited

D. Cochin Shipyard

Solution: Coal India Limited. Maharatna companies: Total - 12. They are - Bharat Heavy Electricals Limited (BHEL), Bharat Petroleum Co Limited (BPCL), Coal India Limited (CIL), Gas Authority of India Limited (GAIL), Hindustan Petroleum Corporation Limited (HPCL), Indian Oil Corporation Limited (IOCL), Power Grid Corporation of India Limited, Steel Authority of India Limited (SAIL), Oil and natural gas corporation (ONGC), National Thermal Power Corporation (NTPC), Rural Electrification Corporation Limited (RECL), Power Finance Corporation (PFC). (As of May 2023)

Q32. The market structure called monopoly exists where there _____ in any market.

A. are multiple buyers

B. is a stiff competition between top brands

C. is no seller

D. is exactly one seller

Solution: Option (d) is correct. Oligopolistic markets - They are markets dominated by a small number of suppliers. Monopolistic competition - It refers to an imperfectly competitive market with the traits of both the monopoly and competitive market. Perfect competition - It occurs when there is a large number of small companies.

Q33. The Commercial Paper (CP) to be used by corporate houses in India was introduced in the year _____.

A. 1980

B. 1950

C. 1965

D. 1990

Solution: 1990. Commercial paper is an unsecured, short-term debt instrument issued by corporations. It's typically used to finance short-term liabilities such as payroll, accounts payable, and inventories. It is usually issued at a discount from face value. It reflects prevailing market interest rates. It involves a specific amount of money that is to be repaid by a specific date. Maturities on commercial paper range from one to 270 days, with an average of around 30 days.

Q34. The government deficit can be reduced by _____ taxes or _____ expenditure.

A. Increasing ; increasing

B. Increasing ; decreasing

C. decreasing ; increasing

D. maintaining ; increasing

Solution: increasing; decreasing. A budget deficit occurs when expenses exceed revenue. The term is commonly used to refer to government spending. A budget deficit can lead to higher levels of borrowing, higher interest payments, and low reinvestment, which will result in lower revenue during the following year. So, countries can counter budget deficits by raising taxes and cutting spending.

Q35. _____ in economics is a curve that, when plotted on a graph, shows all the combinations of two factors that produce a given output.

A. Elasticity

B. Duopoly

C. Long run

D. Isoquant

Solution: Isoquant. An isoquant in economics is a curve that, when plotted on a graph, shows all the combinations of two factors that produce a given output. Often used in manufacturing, with capital and labor as the two factors, isoquants can show the optimal combination of inputs that will produce the maximum output at minimum cost.

Q36. What are the criteria to be considered to get Maharatna status?

A. Having positive net profit to net worth ratio

B. Having significant global presence/international operations

C. Having inter-sectoral performance

D. Having Miniratna category-I status

Solution: Having significant global presence/international operations. Criteria for grant of Maharatna status: average annual turnover of more than Rs. 25,000 crore during the last 3 years, average annual net worth of more than Rs. 15,000 crore during the last 3 years, average annual net profit after tax of more than Rs. 5,000 crore during the last 3 years.

Q37. What is the full form of BHEL, the famous public sector unit of the Government of India?

A. Bharat Heavy Equipment Limited

B. Bhagalpur Heavy Electricals Limited

C. Bharatpur Heavy Engineering Limited

D. Bharat Heavy Electricals Limited

Solution: Bharat Heavy Electricals Limited (Maharatna Company). Headquarter – New Delhi, Established – 1956. Maharatna company – BPCL (Bharat Petroleum Corporation Limited), CIL (Coal India Limited), GAIL (Gas Authority of India Limited), HPCL (Hindustan Petroleum Corporation Limited), IOCL (Indian Oil Corporation Limited), NTPC (National Thermal Power Corporation Limited), ONGC (Oil and Natural Gas Corporation Limited), PGCIL (Power Grid Corporation of India Limited), SHAIL (Steel Authority of India Limited), REC (Rural Electrification Corporation Ltd). As of June 2023 there are 12 Maharatna companies in India.

Q38. What is a Per unit Tax (or Unit Tax)?

A. A tax that the government imposes per unit purchase on imports

B. A tax that the government imposes per unit sale of output.

C. A tax that the factory imposes per unit sale of output.

D. A tax that the factory imposes on total unit purchase on imports.

Solution: A tax that the government imposes per unit sale of output. Unit Tax is proportional to the particular quantity of a product sold, regardless of its price. Direct Tax: Imposed directly on taxpayers, Examples: Income tax, corporate tax, property tax. Indirect Tax: Imposed on goods and services used by the taxpayer, Examples: Goods and Service Tax (GST), Excise, Sales, Entertainment tax. A tariff is a tax imposed by one country on the goods and services imported from another country to influence it, raise revenues, or protect competitive advantages.

Q39. What was the formal name of the Bombay Plan which was published in 1944–45?

A. A plan of economic development for India

B. A plan of industrial development of India

C. A plan of infrastructure development of India

D. A plan of strategic development of India

Solution: A plan of economic development for India. The Bombay plan, published in 1944/1945 by eight leading Indian industrialists, proposed state intervention in the economic development of the nation after independence from the United Kingdom. The signatories of the plan: J. R. D. Tata, Ghanshyam Das Birla, Ardeshir Dalal, Lala Shri Ram, Kasturbhai Lalbhai, Ardeshir Darabshaw Shroff, Sir Purshottamdas Thakurdas and John Mathai. Planning Commission of India – Formed on 15 March 1950; It formulated the Five-Year Plans of India (started from 1951); In 2014, it was dissolved and replaced by the NITI Aayog.

Q40. When a proportional increase in all input results in an increase in output by a larger proportion, the production function is said to display _____.

A. Doubling returns to scale

B. Constant returns to scale

C. Increasing returns to scale

D. Decreasing returns to scale

Solution: Increasing returns to scale (IRS). A decreasing return to scale occurs when the proportion of output is less than the

desired increased input during the production process. Constant returns to scale occur when the long-run average between a company's inputs and outputs are proportional to each other.

Q41. Which of the following correctly define the term 'Cash Reserve Ratio'?

A. Percentage of liquid reserves in the bank.

B. Percentage of deposits which a bank must keep as cash reserves with the Reserve Bank of India.

C. Liabilities of the bank which need to be paid for.

D. Ratio of deposits for the expenses of the firms.

Solution: Cash Reserve Ratio- It is a tool of Monetary Policy. Other Tools of Monetary Policy : Statutory Liquidity Ratio (SLR) – The minimum percentage of deposits that every commercial bank needs to keep to them in the form of liquid cash or other securities. Repo Rate – It is the rate at which commercial banks take loans from the Reserve Bank of India. Reverse Repo Rate – It is the rate at which the Reserve Bank of India borrows money from commercial banks within the country. Bank Rate (Discount Rate) – When a commercial bank lends money from the National Bank, the rate of Interest is known as the Bank Rate.

Q42. The marginal propensity to consume (MPC) refers to the :

A. rate of change of consumption as income changes

B. savings per unit of income

C. consumption per unit of income

D. change in savings per unit change in income

Solution: Option (a) is correct. The marginal propensity to consume (MPC) is defined as the proportion of an aggregate raise in pay that a consumer spends on the consumption of goods and services, as opposed to saving it. $MPC = \frac{dC}{dY}$ where, MPC = Marginal Propensity to consume, C = Consumption Function, Y = change in disposable income that produced the consumption.

Q43. The first ever Industrial Policy Resolution of India was announced in the year ____.

A. 1952

B. 1955

C. 1948

D. 1960

Solution: 1948. Industrial Policy Resolution, 1948 states that India is going to have a Mixed Economic Model. The Industries (Development and Regulation) Act was passed in 1951. India's Industrial Policy is classified into four broad areas: 1. Strategic Industries (Public Sector) 2. Basic/ Key Industries (Public-cum-Private Sector) 3. Important Industries (Controlled Private Sector), 4. Other Industries (Private and Cooperative Sector). Recent Industrial Policy- The New Industrial Policy, 1991.

Q44. In economics, what does 'Budget Surplus' mean?

A. When the amount spent is equal to the revenue collected

B. When the revenue collected is negligible as compared to the expenditure

C. When the revenue collected exceeds the required expenditure

D. When the expenditure exceeds income

Solution: When the revenue collected exceeds the required expenditure. When a government runs a surplus, they have additional money that can be reinvested or used to pay off debts. A deficit is the opposite of a surplus. When spending exceeds revenues, the government must borrow money in order to fund spending.

Q45. Which of the following statements aptly defines 'high powered money'?

- A. The excess of total government consumption.
- B. The currency issued by the Central Bank that can be held by the public or by the commercial banks.**
- C. Money collected from families or individuals and deposited in a bank.
- D. Money consumed by families or individuals.

Solution: High powered money - The currency issued by the Central Bank that can be held by the public or by the commercial banks. High powered money is the liability of the monetary authority of the country. This is also called the monetary base. The monetary base in a country is the total amount of money created by the central bank. This includes: the total currency circulating in the public, plus the currency that is physically held in the vaults of commercial banks, plus the commercial banks' reserves held in the central bank.

Q46. When we divide NNP (Net national product) by the total population of a nation we get ____.

- A. Per capita income**
- B. resource growth
- C. Gross National Product.
- D. external divided

Solution: Per capita income. Per capita income is a measure of the amount of money earned per person in a nation or geographic region. Gross national product (GNP) includes (GDP plus income earned by the residents from overseas investments minus income earned inside the country by foreign residents). Net National Product (NNP) is gross national product (GNP), the total value of finished goods and services produced by a country's citizens overseas and domestically, minus depreciation (D).

Q47. In the Fixed Exchange Rate system, the _____ fixes the exchange rates at a particular level.

- A. businessperson
- B. trading union
- C. market
- D. government**

Solution: Government. Exchange Rate - The price of the domestic currency with respect to another currency. Types of Exchange Rate Systems : Fixed or Pegged exchange rate System - An exchange rate type where a value of a currency is pegged to another currency, to a basket of other currencies, or to another measure of value, such as gold. Floating exchange rate system - It is a regime where the currency price of a nation is set by the forex market based on supply and demand relative to other currencies. Managed floating exchange rate system - An exchange rate system that allows a nation's central bank to intervene regularly in foreign exchange markets to change the direction of the currency's float and/or reduce the amount of currency volatility.

Q48. The difference between the value of exports and the value of imports of goods of a country in a given period of time is called _____.

- A. Capital Trade
- B. Marginalised Trade
- C. Exchange of Trade
- D. Balance of Trade**

Solution: Balance of Trade. A positive balance of trade, also known as a trade surplus, occurs when a country exports more goods than it imports. Capital Trade offers loans against property for fulfilling personal needs such as meeting expenditure on education, marriage, healthcare etc. Marginal Intra-Industry Trade refers to the degree to which the change in a country's exports over a certain period of time are essentially the same products as its change in imports over the same period. Trade is basically an exchange, voluntary in nature between two parties in requirement of each other's resources i.e. goods and services.

Q49. Bharat Heavy Electricals Limited (BHEL) is a _____ company.

- A. Navratna
- B. Miniratna
- C. Maharatna**
- D. Rajratna

Solution: Maharatna . Bharat Heavy Electricals Limited (BHEL) is a government-owned power generation equipment manufacturer. Founded - 1964, Headquarters - New Delhi. Important Maharatna Companies - National Thermal Power Corporation (NTPC), Hindustan Petroleum Corporation Limited (HPCL), Steel Authority of India Limited (SAIL), Gas Authority of India Limited (GAIL), Power Grid Corporation of India.

Q50. Who among the following under the Weaker Section category, are eligible to avail loans under priority sector loans?

- A. Medium and big farmers
- B. Self Help Groups**
- C. Person with no disabilities
- D. Artisans, village and cottage industries where individual credit limits exceed Rs 1 lakh

Solution: Self Help Groups. Priority Sector refers to those sectors which the Government of India and Reserve Bank of India consider as important for the development of the basic needs of the country. They are assigned priority over other sectors. Priority sector loans to the following borrowers are treated under the Weaker Sections category - Small and Marginal Farmers, Artisans, village and cottage industries, Scheduled Castes and Scheduled Tribes, Self Help Groups, Persons with disabilities, Minority communities, etc.

Q51. The Net National Product can be calculated by subtracting Depreciation from _____.

- A. Direct Taxes
- B. Gross Domestic Product
- C. Gross National Product**
- D. National Income

Solution: Gross National Product. Gross national product (GNP) - It is an estimate of the total value of all the final products and services turned out in a given period by the

means of production owned by a country's residents. Direct tax – It is a tax that a person or organisation pays directly to the entity that imposed it. Examples include income tax, real property tax, personal property tax, and taxes on assets. Gross domestic product – It is a monetary measure of the market value of all the final goods and services produced in a specific time period by countries. National Income – It is the total amount of income accruing to a country from economic activities in a year's time.

Q52. The first index number of wholesale prices commenced in India for the week beginning from _____ and the base week ending 19 August 1939.

- A. 21 January 1942
- B. 1 January 1942
- C. 11 January 1942
- D. 10 January 1942**

Solution: 10 January 1942. The Office of the Economic Adviser to the Government of India undertook to publish for the first time, an index number of wholesale prices, with base week ended August 19, 1939, from the week commencing January 10, 1942. The Wholesale Price Index (WPI) number is a measure of average wholesale price movement for the economy.

Q53. _____ pointed out that 'the benefits of economic development must accrue more and more to the relatively less privileged classes of society'.

- A. The Fourth Five-Year Plan
- B. The Second Five-Year Plan**
- C. The Third Five-Year Plan
- D. The Fifth Five-Year Plan

Solution: The Second Five Year Plan (1956–61): It stressed rapid industrialisation and the public sector. It was drafted and planned under the leadership of P.C Mahalanobis. Third Five Year Plan (1961–66): Focus was on agriculture; Panchayat elections were introduced, Target Growth rate was 5.6% and achieved growth rate was 2.4%. Fourth Five Year Plan (1969–74): Based on Gadgil Formula, 14 major Indian banks were nationalised, Green Revolution boosted agriculture. Fifth Five Year Plan (1974–78): It laid stress on increasing employment and poverty alleviation (garibi hatao).

Q54. The role of _____ is to be ready to lend to banks at all times and so it is said to be the lender of last resort.

- A. State Bank of India
- B. Reserve Bank of India**
- C. World Bank
- D. Consolidated Fund of India

Solution: Reserve Bank of India . It is India's central bank and regulatory body responsible for regulation of the Indian banking system. Founded: 1 April 1935, Kolkata by RBI Act, 1934. Name of the first Governor – Sir Osborne Smith. Current Governor – Shaktikanta Das. Important Functions of RBI – Issue of Bank Notes, Banker to the Government, Controller of money supply, Custodian of the Cash Reserves of Commercial Banks, Custodian of country's forex reserves.

Q55. Which of the following can be defined as 'the process in which the government sells a majority stake to one or more companies, while the government still has its ownership and

minority stakeholder as it persists?

- A. Divestment**
- B. Displacement
- C. Delegation
- D. Divergence

Solution: Divestment is the process of selling subsidiary assets, investments, or divisions of a company in order to maximize the value of the parent company. A divestment is the opposite of an investment. Economic Displacement arises when policy intervention that causes the expansion of one economic activity or activity in one location also has the effect of bringing about some degree of reduction in economic activity elsewhere. Laissez-faire is an economic system in which transactions between private groups of people are free from any form of economic intervention deriving from special interest groups. Divergence is when the price of an asset is moving in the opposite direction of a technical indicator or is moving contrary to other data.

Q56. The curve that shows the levels of output that a profit maximising firm would choose to produce at different values of the market price is called the firm's _____.

- A. demand curve
- B. performance curve
- C. variable curve
- D. supply curve**

Solution: Supply curve. The demand curve is a graphical representation of the relationship between the price of a good or service and the quantity demanded for a given period of time. A performance curve, also known as a bell curve, is a systematic measure for assessing employees' performance via a graphic diagram. Variable curve graphically represents the relation between total variable cost incurred by a firm in the short-run production of a good or service and the quantity produced.

Q57. Which of the following is a Maharatna PSU?

- A. BSNL
- B. BHEL**
- C. HAL
- D. BCCL

Solution: BHEL – Bharat Heavy Electricals Limited. Founded in 1964 and Headquarter – New Delhi. Other Maharatna companies (Total 12) – Bharat Petroleum Corporation Limited (BPCL), Coal India Limited (CIL), Gas Authority of India Limited (GAIL), Hindustan Petroleum Corporation Limited (HPCL), Indian Oil Corporation Limited (IOCL), National Thermal Power Corporation (NTPC), Oil and natural gas corporation (ONGC), Power Grid Corporation of India (POWERGRID), Steel Authority of India Limited (SAIL), Rural Electrification Corporation Limited (RECL), Power Finance Corporation (PFC).

Q58. Container Corporation of India is a :

- A. Navratna PSU under Ministry of Railways**
- B. Miniratna II PSU under National Highways Authority of India
- C. Navratna PSU under Inland Waterways Authority of India
- D. Miniratna I PSU under Ministry of Road Transport and Highways

Solution: Navratna PSU under Ministry of Railways. Container Corporation of India Ltd (CONCOR) – An Indian PSU which is

engaged in transportation and handling of containers. Established – March 1988. Headquarter – New Delhi. Ministry of Railways : Established – 18 February 1905. Headquarter – New Delhi.

Q59. Which public sector enterprise has the status of Maharatna?

- A. Indian Railway Catering & Tourism Corporation Limited
- B. Indian Oil Corporation Limited**
- C. Airport Authority of India
- D. Hindustan Aeronautics Limited

Solution: Indian Oil Corporation Limited. Maharatna companies: Total – 12 (As of May 2023) – Bharat Heavy Electricals Limited (BHEL), Bharat Petroleum Co Limited (BPCL), Coal India Limited (CIL), Gas Authority of India Limited (GAIL), Hindustan Petroleum Corporation Limited (HPCL), Indian Oil Corporation Limited (IOCL), Power Grid Corporation of India Limited (PGCIL), Steel Authority of India Limited (SAIL), Oil and natural gas corporation (ONGC), National Thermal Power Corporation (NTPC), Rural Electrification Corporation Limited (RECL), Power Finance Corporation (PFC).

Q60. What is the percentage of the paid up share capital held by the central government or by any state government or partly by the central governments and partly by one or more state governments in Public Sector Undertaking?

- A. 50% or less
- B. 60% or more
- C. 70% or more
- D. 51% or more**

Solution: 51% or more. Government company is defined under Section 2 (45) of the Companies Act, 2013. Paid-up share capital – Amount of money a company has received from shareholders in exchange for shares of stock, Company sells its shares on the primary market directly to investors, usually through an initial public offering (IPO). Private company is a type of business that locates funding through independent investments instead of trading financial assets using the public stock exchange.

Q61. In which of the Five-Year Plans, was the main slogan 'toward Faster and more inclusive growth' used?

- A. 8 th
- B. 11 th**
- C. 9 th
- D. 10 th

Solution: 11 th Five Year Plan (2007–2012): C. Rangarajan prepared this plan; The target rate was 9% and the actual growth rate was 8%; The focus was also laid on providing clean drinking water for all by 2009; The Right to Education Act was introduced in 2009, and came into effect in 2010, making education free and compulsory for children aged between 6–14 years. 8 th Five Year Plan (1992–97), 9 th Five Year Plan (1997–2002), 10 th Five Year Plan (2002–07).

Q62. Steel Authority of India Limited is an example of:

- A. Public sector industry**
- B. Private sector industry
- C. Joint sector industry
- D. Co-operative sector industry

Solution: Public sector industries are government owned establishments. Steel Authority of India Limited (SAIL): Incorporated –1973 ; Headquarters – New Delhi. Important plants – Bhilai Steel Plant (Chhattisgarh), Durgapur Steel Plant (West Bengal), Bokaro Steel Plant (Jharkhand), Rourkela Steel plant (Odisha).

Q63. Which one among the following is NOT listed under 'Maharatna' companies?

- A. Indian Oil Corporation
- B. Shipping Corporation of India**
- C. National Thermal Power Corporation
- D. Coal India Limited

Solution: Shipping Corporation of India. In India Government owned companies are known as Central Public Sector Enterprises (CPSEs) which are further classified as Maharatna Company, Navratna Company, and Miniratna Company depending on their degree of financial independence. Some Maharatna Companies in India – Bharat Petroleum Corporation Limited (BPCL), Steel Authority of India Limited (SAIL), Oil and Natural Gas Corporation (ONGC).

Q64. Complete the sentence using the options given below. The short-run marginal cost curve is 'U'- shaped due to_____.

- A. The law of variable proportions**
- B. more supply of products
- C. the law of fixed proportions
- D. aggregate demand

Solution: The law of variable proportions. The marginal cost curve is the graphical representation of the relationship between the marginal cost and the quantity of output produced by this firm. The curve initially slopes downward till it reaches its minimum point and thereafter, it starts rising. Therefore, it leads to U-shape of the curve when presented graphically. Marginal cost – It is the change in total production cost that comes from making or producing one additional unit.

Q65. Which of the following is primarily an economic union of the post-soviet states located in eastern Europe, Western Asia and Central Asia?

- A. Andean Community
- B. European Union
- C. Eurasian Economic Union**
- D. CARICOM Single Market and Economy

Solution: Eurasian Economic Union:– It was signed on 29 May 2014 by the leaders of Armenia, Belarus, Kazakhstan, Kyrgyzstan and Russia and came into force on 1 January 2015. Aim – It include the free movement of goods, services, capital, and labor among member states. Andean Community – It is a free trade area with the objective of creating a customs union comprising the South American countries of Bolivia, Colombia, Ecuador, and Peru. European Union – It is a group of 27 countries in Europe to make things better, easier and safer for people. CARICOM Single Market and Economy (CSME) – It is a regional integration initiative among Caribbean Community (CARICOM) member states, aimed at promoting free movement of goods, services, capital, and skilled labor, and fostering economic cooperation and development.

Q66. _____ is when a government taxing, spending, or borrowing decision has or is intended to have no net effect on the economy.

- A. Fiscal profit
- B. Fiscal deficit
- C. Fiscal expenditure

D. Fiscal neutrality

Solution: Fiscal neutrality. There are three types of fiscal policy: A neutral fiscal policy is used when the economy of the country is in equilibrium; In an expansionary fiscal policy, the government puts more money into the economy, creating more demand and services; Contractionary policy is normally used at the time of a boom in the economy. Fiscal deficit is the condition when the expenditure of the government exceeds its revenue in a year.

Q67. Which navratna company is fondly called Vizag steel?

- A. Rourkela Steel Plant
- B. Bokaro Steel Plant
- C. IISCO Steel Plant

D. Rashtriya Ispat Nigam Limited

Solution: Rashtriya Ispat Nigam Limited: Founded - 18 February 1982, Headquarters - Visakhapatnam, Other Companies, formation year and headquarter: IISCO Steel Plant (1918 - West Bengal). Rourkela Steel Plant - Set up with the collaboration of Germany (1959 - Odisha). Bokaro Steel Plant - (29 January 1964 - Jharkhand) set up with the help of the Soviet Union.

Q68. From the given options, select the one that correctly describes the meaning of 'Head Count Ratio'.

- A. When the number of rich is estimated as the proportion of people on par with the poverty line
- B. When the number of people with average income is estimated as the proportion of people on par with the poverty line
- C. When the number of poor is estimated as the proportion of people above the poverty line

D. When the number of poor is estimated as the proportion of people below the poverty line

Solution: Head count ratio (HCR) - It is the number of poor as a proportion of people living below the poverty line. According to NITI Aayog's National Multidimensional Poverty Index (2021), India's HCR is 25.01%. The Rural HCR is 32.75% and the Urban HCR is 8.81% as per the same NITI Aayog report. Poverty Line Basket - The basket of goods and services necessary to satisfy basic human needs.

Q69. Which of the following is NOT, a parameter used to calculate the Human Development Index?

- A. Life expectancy
- B. Environment around living area**
- C. Expected years of schooling
- D. Gross National income per capita

Solution: Environment around living area. Human Development Reports (HDRs) - Published by the Human Development Report Office for the United Nations Development Programme (UNDP). HDI is a composite index that measures average achievement in human development taking into account four indicators: Life expectancy at birth

(Sustainable Development Goal 3), Expected years of schooling (Sustainable Development Goal 4.3), Mean years of schooling (Sustainable Development Goal 4.4), Gross national income (GNI) (Sustainable Development Goal 8.5).

Q70. Which of the following statements with respect to the law of variable proportions is true?

- A. The marginal product of a factor input initially falls with its employment level, but after reaching a certain level of employment, it starts falling even more, causing a depression.
- B. The marginal product of a factor input initially rises with its employment level and remains consistent throughout.
- C. The marginal product of a factor input initially drops with its employment level, but after reaching a certain level of employment, it starts rising.

D. The marginal product of a factor input initially rises with its employment level, but after reaching a certain level of employment, it starts falling.

Solution: The Law of Variable Proportion / Law of Diminishing Returns - When the quantity of one factor of production is increased while keeping all other factors constant, it will result in the decline of the marginal product of that factor. Assumptions of Law of Variable Proportion - Constant state of Technology, Variable Factor Proportions, Homogeneous factor units, Short Run. Stages of Law of Variable Proportion - Stage of Increasing Returns, Stage of Diminishing Returns, Stage of Negative Returns.

Q71. Which of the following is NOT a public sector unit?

- A. NTPC
- B. ICICI**
- C. BHEL
- D. BCCL

Solution: ICICI (Industrial Credit and Investment Corporation of India): Established - 1955 (at the initiative of the World Bank, the Government of India and representatives of Indian industry). National Thermal Power Corporation (NTPC): Founded (1975), Headquarters (New Delhi). Bharat Heavy Electricals Limited (BHEL): Founded (1964), Headquarter (New Delhi). Bharat Coking Coal Limited (BCCL): Founded (1972), headquarter (Dhanbad).

Q72. In 2009-10, the Poverty line was defined for rural areas as consumption worth ₹673 per person _____ and for urban areas it was ₹860.

- A. half-yearly
- B. monthly**
- C. quarterly
- D. yearly

Solution: monthly. About 30 percent of people in India were below the poverty line in 2009-10. A person who is not able to earn enough money to cover his basic needs is considered to be below the poverty line (BPL). Dadabhai Naoroji made the earliest poverty estimation in India in his book, Poverty and the Un-British Rule in India. In 1944, the Bombay Plan introduced the poverty limit of ₹ 75 per capita per year. Some committees related to poverty estimation - Alagh Committee (1979), Lakdawala Committee (1993), Tendulkar Committee (2009), Rangarajan Committee.

Q73. Which of the following statements is justifiable for

'floating exchange rate'?

A. It maintains an equilibrium between export and import.

B. It is determined by the market forces of demand and supply.

C. It reduces the foreign exchange.

D. It records international transactions of assets.

Solution: It is determined by the market forces of demand and supply. Floating Exchange Rate – An exchange rate system where a country's currency price is determined by the foreign exchange market, depending on the relative supply and demand of other currencies. Benefits – Stability in the balance of payments, Foreign exchange is unrestricted, Large foreign exchange reserves not required. Limitations – Exposed to the volatility of the exchange rate, Restricted economic growth or recovery. Fixed Exchange Rate – An exchange rate where the currency of one country is linked to the currency of another country or a commonly traded commodity like gold or oil.

Q74. The health component of the Human development Index is measured by the _____.

A. Sex ratio

B. Total number of births

C. Life expectancy at birth

D. Total number of deaths

Solution: life expectancy at birth. There are three components of HDI – Health, Education and Standard of living. Health : A long and healthy life – Measured by life expectancy; Education : Access to education – Measured by expected years of schooling of children at school-entry age and mean years of schooling of the adult population; Standard of living: A decent standard of living – Measured by Gross National Income per capita.

Q75. Which of the following is NOT a classification of Public Sector Undertaking (PSUs)?

A. State Private Sector Enterprises (SPSEs)

B. Public Sector Banks (PSBs)

C. Public Sector Enterprises (PSEs)

D. Central Public Sector Enterprises (CPSEs)

Solution: State Private Sector Enterprises. Public Sector Undertaking (PSU): Government owned companies where the governments such as Federal, Union governments or the many state or territorial governments, or both own a majority stake of 51% or more of the company equity. Some well known PSUs : Bharat Heavy Electrical Limited (BHEL), Steel Authority of India Limited (SAIL), Gas Authority of India Limited (GAIL) and Power Finance Corporation (PFC) Limited.